

Summary

The market value ratios are extremely important because these determine an investment decision. If one remembers, as technical analysts would vouch, that the market price of a share takes into account the profitability, earnings, prospects and all other aspects of a company, market ratios go on to another dimension — as the only ratios that evaluate the price of a share for an investor to determine whether it is under priced or overpriced.

Earnings

Earnings is the yardstick by which companies are finally judged, namely what investors earn on their investments. The earnings ratios are often used to determine the fair market price of a share and to value investments.

As a consequence, these are the most important ratios for investors and it is important that they be appreciated and understood.